INDEPENDENT FINANCIAL RESEARCH PROJECT

Financial Performance and Fundamental Analysis of BRAC Bank PLC

A Five-Year Financial Statement Analysis, FY2021–FY2025, with Peer Comparisons against The City Bank and Eastern Bank

Independent student research project | BBA, BRAC University, Dhaka, Bangladesh

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Companion model: BRAC_Bank_Financial_Model_v0.4.xlsx

Important notice. This is an independent educational research project prepared by a student. It is based solely on the banks' published annual reports. It is not investment advice, is not endorsed by any of the banks analysed, and expresses no recommendation to buy, hold or sell any security. Amounts are in BDT million unless stated.

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1. Executive Summary

This report analyses the financial statements of BRAC Bank PLC for the five years FY2021 to FY2025 and compares its standalone performance with two other large private commercial banks, The City Bank and Eastern Bank (EBL). All figures come from the banks' audited annual reports. Where a later report restated an earlier year, the latest published figure is used and the change is logged in Appendix A.

Headline result. BRAC Bank's consolidated net profit rose from BDT 4,653 million in FY2021 to BDT 22,509 million in FY2025, a compound annual growth rate of 48.3%. Total assets grew 25.9% a year to BDT 1,328,115 million, and deposits grew 28.4% a year.

Five findings that matter most:

1. **Profit quality has shifted from lending to securities.** Net interest income fell from BDT 20,549 million in FY2023 to BDT 16,033 million in FY2025 even as profit more than doubled. Investment income (mostly government securities) rose from 23% to 56% of operating income. Earnings are therefore sensitive to government securities yields.
2. **Funding costs tripled.** The standalone cost of funds rose from 2.21% to 6.85%, compressing the lending spread.
3. **Asset quality improved every year.** The NPL ratio fell from 3.90% to 2.27%, and provision coverage rose from 108% to 120%. However, the absolute stock of classified loans barely changed (BDT 12,523 million to BDT 16,569 million), so much of the ratio improvement comes from a larger loan book.
4. **Capital is adequate but its quality is thinning.** The standalone total capital ratio rose to 15.63%, but the highest-quality (CET1) ratio drifted down from 12.89% to 12.16%, with growth increasingly supported by subordinated bonds.
5. **Against The City Bank and Eastern Bank, BRAC Bank is the largest and fastest-growing, but not the highest earner on equity.** FY2025 year-end ROE was 21.4% at City, 17.7% at EBL and 15.9% at BRAC. A DuPont decomposition shows margins are almost identical across the three; the differences come from asset yield and leverage. On asset quality and capital the three are close (NPL 2.27% BRAC, 2.50% City, 2.24% EBL; capital ratios within 0.3 percentage points), while EBL is the most cost-efficient and the least dependent on securities income.

Overall assessment. BRAC Bank is a fast-growing, increasingly well-provisioned bank whose recent profit surge rests heavily on investment income and on subsidiary (bKash) earnings, part of which belongs to minority holders. The main watch-points are margin pressure if yields fall, the dependence on securities income, and thinning core capital.

2. Introduction

Commercial banks are the backbone of Bangladesh's financial system. Reading their financial statements correctly is a core skill for anyone working in equity research, credit analysis, corporate finance or investment analysis. Unlike manufacturing firms, banks earn money by borrowing (mainly through deposits) and lending, so ratios designed for factories, such as the debt-to-equity ratio or inventory turnover, can mislead. This project therefore applies banking-specific measures: net interest income, cost-to-income, non-performing loans, provision coverage and regulatory capital.

BRAC Bank PLC was chosen because it is one of the country's leading private banks, has an unusual business mix (a very large small-and-medium-enterprise loan book and a controlling stake in bKash), and has experienced rapid change in profit structure over the last five years. The City Bank and Eastern Bank PLC (EBL) were chosen as peers because they are listed private commercial banks of comparable size that report under the same regulatory framework.

3. Research Objectives

The study aims to:

1. Collect and verify five consecutive years (FY2021 to FY2025) of consolidated and standalone financial data for BRAC Bank PLC from audited annual reports.
2. Calculate and interpret banking-specific profitability, liquidity, solvency, efficiency and asset-quality ratios, and compare them with the ratios the bank reports.
3. Identify the main drivers of profit growth, the strongest and weakest years, and the key financial events affecting performance.
4. Benchmark BRAC Bank against The City Bank and Eastern Bank on a like-for-like standalone basis.
5. Evaluate the principal risks (credit, liquidity, market, interest rate, foreign exchange, operational, regulatory and macroeconomic) using evidence from the financial statements.
6. Build a transparent, formula-driven Excel model so that every figure in this report can be traced to its source.

4. Research Methodology

4.1 Data sources

The dataset is built only from primary sources: the annual reports for 2021 to 2025 of BRAC Bank (BRAC Bank Limited, 2022, 2023; BRAC Bank PLC, 2024, 2025, 2026) The City Bank (The City Bank Limited, 2022 to 2026) and Eastern Bank (Eastern Bank Limited, 2022, 2023; Eastern Bank PLC, 2024 to 2026). The five-year highlights and the audited consolidated statements in the FY2025 report were used as the main series. Each year's own report was then used to check net profit, tax, provisions, attributable profit, equity and cash flows. News articles and data websites were used only to cross-check, and one such website was found to report a different "net income" (profit attributable to shareholders rather than total profit), so none of them feed the dataset.

4.2 Basis of preparation

Consolidated figures include BRAC Bank's subsidiaries (notably bKash, BRAC EPL Investments, BRAC EPL Stock Brokerage and BRAC Saajan Exchange). **Standalone** figures cover the bank alone. The two are never mixed within a ratio. The peer comparison uses standalone figures for all three banks, because that is the basis on which the peers' five-year series are reported.

4.3 Restated figures and unit convention

Later reports restate some earlier years (for example, FY2022 consolidated net profit was BDT 6,122 million in the FY2022 report and BDT 6,142 million in the FY2023 report). The most recently published figure is used. Earnings per share is restated for bonus shares each year, so only restated EPS is used for trends. All amounts are in BDT million; ratios are expressed as percentages or multiples.

4.4 Analytical approach and quality control

Ratios are calculated from raw figures with Excel formulas and then compared with the ratios the banks themselves report. Return ratios use average balances for BRAC Bank's own time series, and year-end balances for the three-bank comparison so that all banks are treated identically. Integrity checks built into the workbook confirm that the balance sheet balances, profit lines add up, owners' and minority profit sum to total profit, and cash flows reconcile, all within BDT 3 million of rounding in every year. Calculated provision coverage, NPL ratio, cost-to-income ratio, capital ratios and ROA reproduce the reported figures.

4.5 Limitations

- Only two peers are included, both well-performing private banks. They do not represent the whole industry (Eastern Bank's report cites a December 2025 industry-average NPL ratio of 30.60%, far above all three banks).
- The peers are compared on a standalone basis only; their consolidated statements were not analysed.
- Eastern Bank's reported NIM (4.00% in FY2025) could not be reproduced from its statements, so NIM is not compared across banks.
- The bank's reported net interest margin for FY2021 to FY2023 is not in the five-year table and its exact definition was not found, so margin analysis uses reported NIM only for FY2024 to FY2025 and a transparent own-measure otherwise. (The workbook also holds FY2021 to FY2023 NIM values derived from year-on-year changes stated in later reports; they are flagged as derived and are not used in this report.)
- The size of BRAC Bank's non-controlling interest in equity (BDT 19.8 billion in FY2021) was not traced to its cause in the notes.

- Regulatory thresholds are quoted as each bank states them in its own report; City Bank states a different requirement from BRAC Bank and Eastern Bank (see Section 6) and the reason was not established.
- Interpretations of causes are the author's analytical judgement based on the reported numbers and management commentary; they are not statements by the banks.

5. Company Overview

5.1 BRAC Bank PLC

BRAC Bank commenced operations as a private commercial bank on 4 July 2001, founded by Sir Fazle Hasan Abed to serve a segment mainstream banks largely ignored: small and medium enterprises (SMEs). It remains closely associated with that mission. At the end of 2025 it operated 194 branches, 116 sub-branches and 329 ATMs with 10,308 employees and about 2.3 million customers (BRAC Bank PLC, 2026).

Business model and segments. The loan book is split roughly into retail 17%, SME 42% and corporate 41% (BRAC Bank PLC, 2026). Small and medium enterprise lending, at BDT 306 billion, is its distinguishing franchise. The bank also runs treasury, foreign exchange and remittance businesses (inward remittance exceeded USD 2 billion in 2025), card operations, and agent and digital banking.

Subsidiaries. BRAC Bank owns 51% of bKash Limited, Bangladesh's largest mobile financial service, and consolidates it. bKash's own net profit rose 109% to BDT 6,612 million in 2025 (from BDT 3,158 million). The notes use an economic shareholding of about 35.7% for net-asset purposes because of bKash preference shares with ordinary-share rights, so roughly two-thirds of bKash's profit accrues to minority holders. This is why consolidated profit (BDT 22,509 million) exceeds the profit attributable to BRAC Bank shareholders (BDT 18,163 million).

How the bank earns profit. Income comes from four streams: (1) net interest income, the gap between interest earned on loans and interest paid on deposits and borrowings; (2) investment income, mainly interest on government treasury bills and bonds; (3) commission, exchange and brokerage, which includes card, trade, remittance, foreign exchange, brokerage and bKash fee income; and (4) other operating income. Operating costs (salaries, rent, technology, depreciation) and provisions for expected loan losses are deducted, then tax, to give net profit.

Competitive advantages. (i) A deep SME franchise, (ii) ownership of bKash, which provides a large fee-income and customer-data platform, (iii) strong remittance and digital capabilities, and (iv) the highest foreign shareholding among domestic banks and a Bloomberg ESG rating the bank reports as the best among Bangladeshi banks (BRAC Bank PLC, 2026). **Challenges** include high funding costs, compressed lending spreads, slow private-sector credit demand, concentration in SME credit, and dependence on government securities income.

5.2 The City Bank

The City Bank was incorporated on 14 March 1983 and began banking operations on 23 March 1983; its report describes it as part of the effort to establish Bangladesh's first private commercial bank (The City Bank Limited, 2026). It offers retail, corporate, SME, treasury and digital banking through 124 branches, 81 sub-branches and 549 ATMs and recycling machines, and has about 2.2 million retail customers. Its subsidiaries include City Brokerage Limited, City Bank Capital Resources Limited and a 75%-owned Malaysian remittance company, and it operates an offshore banking unit in Hong Kong. Retail contributes about two-thirds of its deposits.

5.3 Eastern Bank PLC (EBL)

Eastern Bank was incorporated on 8 August 1992 and commenced operations on 16 August 1992, after taking over the business of Bank of Credit & Commerce International (Overseas) Limited under a Bangladesh Bank reconstruction scheme (Eastern Bank PLC, 2026). At the end of 2025 it had 85 branches, 52 sub-branches, 119 agent banking outlets, 440 ATMs/CRMs and 4,736 employees, and 573 foreign correspondents. Its subsidiaries are EBL Securities PLC, EBL Investments Limited, EBL Asset Management Limited and EBL Finance (HK) Limited, which the bank describes as its first foreign subsidiary, engaged in trade finance. EBL has the smallest branch network of the three; its operating

income per permanent employee was BDT 9.76 million in FY2025, and it handled export business of BDT 375 billion and import business of BDT 443 billion.

Table 1
Profile comparison, FY2025

Item	BRAC Bank PLC	The City Bank	Eastern Bank
Commenced	2001	1983	1992
Total assets (standalone, BDT mn)	1,179,672	843,341	761,604
Loans and advances (BDT mn)	730,659	506,201	477,040
Deposits (BDT mn)	889,517	631,642	556,454
Net profit after tax (BDT mn)	15,809	13,059	9,010
Branches / sub-branches	194 / 116	124 / 81	85 / 52
Distinct feature	SME focus (42% of loans); controlling stake in bKash	Retail-led deposits; remittance units abroad	Lean network; sizeable trade business; Hong Kong subsidiary

Source: BRAC Bank PLC (2026); The City Bank Limited (2026); Eastern Bank PLC (2026).

Other competitors. Besides each other, the large private-sector banks, state-owned commercial banks, and increasingly non-bank digital finance providers such as mobile financial services all compete for deposits and fee income.

6. Industry Overview

BRAC Bank's FY2025 report describes a difficult operating environment (BRAC Bank PLC, 2026). Inflation averaged 8–9% in 2025, easing from double-digit highs in 2024 but still well above the central bank's target. GDP growth slowed to around 4%, reflecting weak investment, and contractionary monetary policy kept credit demand subdued. Exports rebounded 8.6% to about USD 48 billion and remittances reached a record USD 32.8 billion, up about 26%, helping the external position. The exchange rate stayed between BDT 122 and 123 per US dollar in late 2025, which the report calls stable but fragile. The report also notes weakening capital adequacy at state-owned banks and a national election in 2026 following the political transition that began in 2024. Mobile financial services continued to expand, with total transactions up about 26% to roughly BDT 22 trillion.

For banks, this environment had three effects visible in the data. First, **deposit rates rose sharply**: all three banks' reported cost of funds more than doubled over five years (roughly tripled at BRAC; definitions differ slightly between banks). Second, **private credit demand was weak**, so the banks shifted assets from loans into government securities, whose high yields lifted investment income (Section 10). Third, **regulatory tightening** continued. The banks' reports cite the following limits, which differ in wording between the two reports:

Table 2
Regulatory limits as quoted in each bank's FY2025 report

Measure	Limit quoted	BRAC	City	EBL
Capital adequacy ratio (CRAR)	BRAC, EBL: more than 12.5%; City: "not less than 14%"	15.63%	15.74%	15.49%
Liquidity coverage ratio (LCR)	Minimum 100%	292.0%	231.5%	252.7%
Net stable funding ratio (NSFR)	More than 100%	108.2%	104.6%	113.1%
Advance-deposit (AD) ratio	Less than 87%	63.5%	71.3%	74.7%

Source: BRAC Bank PLC (2026); The City Bank Limited (2026); Eastern Bank PLC (2026). City Bank's stated 14% capital requirement differs from the 12.5% in the other two reports; the reason was not established.

The three banks are healthier than the sector as a whole: Eastern Bank's report cites an industry-average NPL ratio of 30.60% as of December 2025, against 2.24% for EBL (Eastern Bank PLC, 2026). All three should therefore be read as strong private banks in a weak sector, not as typical banks.

7. Financial Statement Analysis

7.1 Income statement (consolidated)

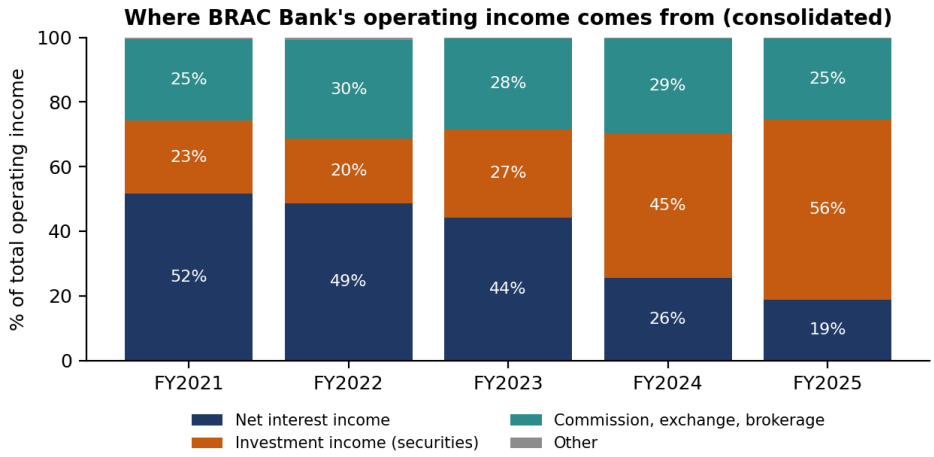
Table 3
BRAC Bank consolidated income statement, FY2021–FY2025 (BDT million)

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Interest income	24,225	31,370	41,864	58,574	78,588
Interest expense	7,913	12,954	21,315	42,120	62,555
Net interest income	**16,312**	**18,416**	**20,549**	**16,454**	**16,033**
Investment income	7,142	7,586	12,687	28,813	47,782
Commission, exchange, brokerage	7,993	11,522	13,039	18,812	21,237
Other operating income	175	332	172	252	308
Total operating income	**31,623**	**37,857**	**46,447**	**64,331**	**85,360**
Operating expenses	21,515	26,392	30,720	36,390	44,438
Operating profit (pre-provision)	10,107	11,465	15,727	27,941	40,922
Provisions	3,219	2,189	2,922	3,850	6,908
Profit before tax	6,910	9,283	12,823	24,098	34,021
Tax expense	2,257	3,141	4,548	9,780	11,512
Net profit after tax	**4,653**	**6,142**	**8,275**	**14,318**	**22,509**
of which: BRAC Bank shareholders	5,465	6,033	7,610	12,296	18,163
of which: non-controlling interest	(812)	109	665	2,022	4,347
EPS, restated (BDT)	3.65	3.75	4.30	6.18	9.12

Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Net interest income is interest income minus interest expense (Bangladesh Bank format); investment income is reported separately.

Revenue. Total operating income grew from BDT 31,623 million to BDT 85,360 million (28.2% a year). The composition changed dramatically (Figure 1). Net interest income's share of operating income fell from 52% to 19%, while investment income's share rose from 23% to 56%. Commission and exchange income stayed at roughly a quarter to a third of the total.

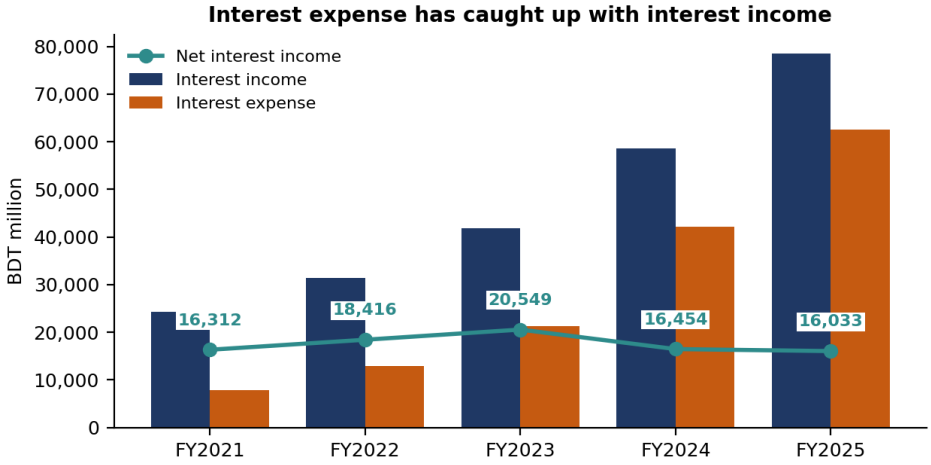
Figure 1
Composition of operating income



Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

The margin squeeze. Interest income grew 34% in FY2025, but interest expense grew 49% (and 98% in FY2024). As Figure 2 shows, net interest income peaked in FY2023 and has since fallen 22%. Profit rose anyway because investment income climbed from BDT 12,687 million (FY2023) to BDT 47,782 million (FY2025) as the bank and its customers' deposits were redeployed into high-yield government securities.

Figure 2
Interest income, interest expense and net interest income (consolidated)

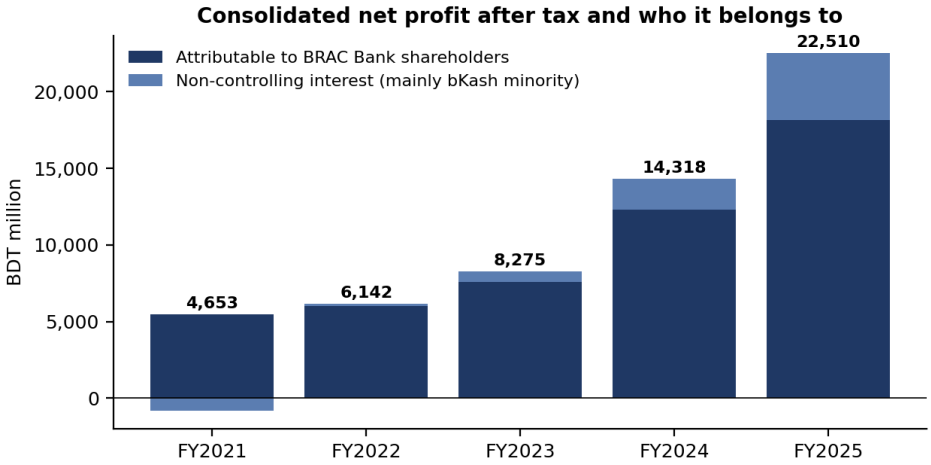


Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

Costs and provisions. Operating expenses grew 19.9% a year against income growth of 28.2%, so the cost-to-income ratio fell from 68% to 52%. Provisions rose 79% in FY2025 to BDT 6,908 million, the largest increase in the period, but still absorbed only 17% of operating profit.

Tax and minorities. The effective tax rate peaked at 40.6% in FY2024 and fell to 33.8% in FY2025. The share of profit belonging to non-controlling interest rose from a loss in FY2021 to 19% of net profit in FY2025 (Figure 3), reflecting bKash's growth. Analysts should therefore look at profit attributable to shareholders (BDT 18,163 million, CAGR 35.0%) as well as total profit.

Figure 3
Consolidated net profit after tax and its ownership



Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

7.2 Balance sheet (consolidated)

Table 4
BRAC Bank consolidated balance sheet, FY2021–FY2025 (BDT million, year-end)

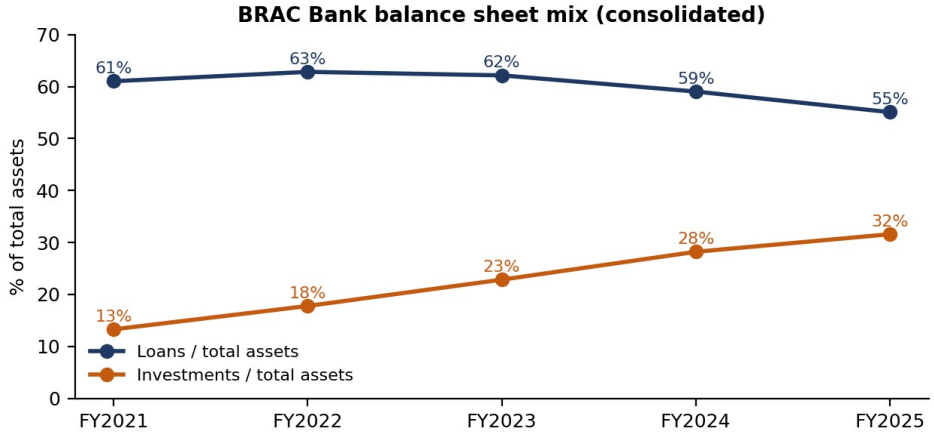
Item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and bank balances	105,221	91,648	77,496	78,867	109,752
Investments	70,069	116,552	191,144	297,960	419,378
Loans and advances	322,135	412,085	520,288	623,851	731,408
Total assets	**527,913**	**655,950**	**837,145**	**1,056,724**	**1,328,115**
Deposits	364,330	447,058	588,430	777,867	990,359

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Borrowings incl. bonds	47,327	85,845	108,105	119,289	139,345
Total liabilities	**450,965**	**574,886**	**750,125**	**955,801**	**1,198,693**
Equity: bank shareholders	57,187	61,186	66,541	78,413	102,658
Equity: non-controlling interest	19,761	19,878	20,479	22,510	26,764
Total equity	**76,948**	**81,064**	**87,020**	**100,923**	**129,422**

Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

Total assets grew 25.9% a year and deposits 28.4%, faster than loans (22.8%). The gap went into securities: investments rose from 13% of assets to 32%, while loans fell from 61% to 55% (Figure 4). Equity attributable to shareholders grew more slowly (15.8%), so leverage (total assets to total equity) rose from 6.86x to 10.26x. A balance sheet that grows far faster than equity is a classic late-cycle signal that deserves monitoring.

Figure 4
Loans and investments as a share of total assets



Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

Part of FY2025's equity growth (31%) came from a revaluation reserve on government securities that rose from BDT 949.8 million to BDT 9,148.1 million (consolidated balance sheet, BRAC Bank PLC, 2026), a mark-to-market gain that could reverse if bond yields rise. This is analysed under market risk in Section 11.

7.3 Cash flow statement (consolidated)

Table 5
BRAC Bank consolidated cash flows, FY2021–FY2025 (BDT million)

Item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating activities	3,725	37,625	65,571	107,786	144,774
Investing activities	17,868	(51,202)	(79,524)	(111,862)	(120,514)
Financing activities	20,947	(930)	(1,163)	4,927	5,034
Net change in cash	**42,541**	**(14,507)**	**(15,117)**	**851**	**29,294**

Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). The three activities sum to the net change in cash within rounding in every year.

Operating cash flow for a bank is dominated by changes in deposits (inflow) and loans (outflow), so it is large and volatile and should not be read like a manufacturer's. In FY2025 operating cash flow of BDT 144,774 million reflected a BDT 210,034 million increase in customer deposits, partly offset by a BDT 107,297 million increase in loans. Investing outflows of BDT 120,514 million were almost entirely purchases of treasury bonds, confirming the shift into securities. Financing inflows were small (BDT 5,034 million): BDT 7,250 million of subordinated bonds less BDT 2,216 million of cash dividends.

8. Financial Ratio Analysis

Ratios convert raw statements into comparable measures. Each subsection gives the formula, a worked FY2025 calculation, the meaning, the five-year trend, whether the movement is favourable, and likely reasons. Calculated figures are shown against the bank's reported figures where available.

Table 6
BRAC Bank key ratios, FY2021–FY2025

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Profitability					
ROA, consolidated (calculated)	n/a	1.02%	1.02%	1.30%	1.52%
ROE, consolidated (calculated)	n/a	10.2%	11.9%	17.0%	20.1%
ROA, standalone (reported)	1.31%	1.14%	1.13%	1.46%	1.50%
ROE, standalone (reported)	11.0%	10.2%	11.9%	17.4%	18.0%
Net profit margin (NPAT / op. income)	14.7%	16.2%	17.8%	22.3%	26.4%
NIM, reported (standalone)	n/a	n/a	n/a	4.07%	4.61%
Cost of funds (standalone)	2.21%	3.18%	3.91%	5.93%	6.85%
Efficiency					
Cost-to-income, consolidated	68.0%	69.7%	66.1%	56.6%	52.1%
Cost-to-income, standalone	53.2%	58.1%	55.9%	47.1%	45.0%
Operating "jaws" (income growth minus cost growth)	n/a	-3.0%	6.3%	20.0%	10.6%
Liquidity and capital					
Loan-to-deposit, simple (standalone)	102.1%	106.8%	101.1%	90.4%	82.1%
LCR	227%	228%	170%	213%	292%
NSFR	106%	118%	121%	112%	108%
CRAR, standalone	14.36%	14.04%	13.99%	14.95%	15.63%
CET1 ratio, standalone	12.89%	12.42%	12.43%	12.31%	12.16%
Equity multiplier (consolidated)	6.86x	8.09x	9.62x	10.47x	10.26x
Asset quality					
NPL ratio	3.90%	3.72%	3.38%	2.63%	2.27%
Net NPL ratio	1.17%	1.51%	1.18%	0.52%	0.53%
Provision coverage (calculated)	108%	99%	102%	120%	120%
Credit cost (provisions / avg. loans)	n/a	0.60%	0.63%	0.67%	1.02%

Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Consolidated ROA and ROE use profit attributable to shareholders and average balances, so they start in FY2022 (FY2021 would need FY2020 balances, which are outside the five-year window); this reproduces the reported FY2025 figures of 1.52% and 20.06%.

8.1 Profitability

Return on assets (ROA) = profit attributable to shareholders ÷ average total assets. FY2025: 18,163 ÷ ((1,056,724 + 1,328,115) ÷ 2) = 18,163 ÷ 1,192,420 = **1.52%**, matching the reported 1.52%. ROA shows profit generated per taka of assets; for banks, above about 1% is generally regarded as solid. Consolidated ROA fell slightly to 1.02% in FY2022 and FY2023 then rose to 1.52%. The trend is **favourable**, driven by the investment income surge and lower relative costs.

Return on equity (ROE) = profit attributable to shareholders ÷ average shareholders' equity. FY2025: 18,163 ÷ ((78,413 + 102,658) ÷ 2) = 18,163 ÷ 90,536 = **20.06%**, matching the reported 20.06%. ROE doubled from 10.2% in FY2022 to 20.1% in FY2025. This is favourable, but part of it comes from leverage (the equity multiplier rose from 6.86x to 10.26x) rather than from better underlying economics, so ROE should be read together with the capital ratio. Standalone ROE (reported) was lower at 18.02%, partly because the consolidated figure includes bKash's earnings attributable to shareholders.

Net profit margin = net profit ÷ total operating income = 26.4% in FY2025, up from 14.7%. **Net interest margin (NIM)**, the spread earned on earning assets, was reported at 4.07% in FY2024 and 4.61% in

FY2025 for the standalone bank. The reported NIM rose even though funding costs rose, because treasury income carried the margin. The workbook's own measure (net interest income plus investment income ÷ average earning assets) gives 4.98%; the bank's precise NIM definition is not disclosed in the sections reviewed, so the two should not be compared directly. **EPS** (restated) rose from BDT 3.65 to BDT 9.12 on a consolidated basis, a rise of 150%.

Cost of funds (reported) rose from 2.21% to 6.85%. This is **unfavourable** for margins and is the single most important pressure on the bank's traditional lending business.

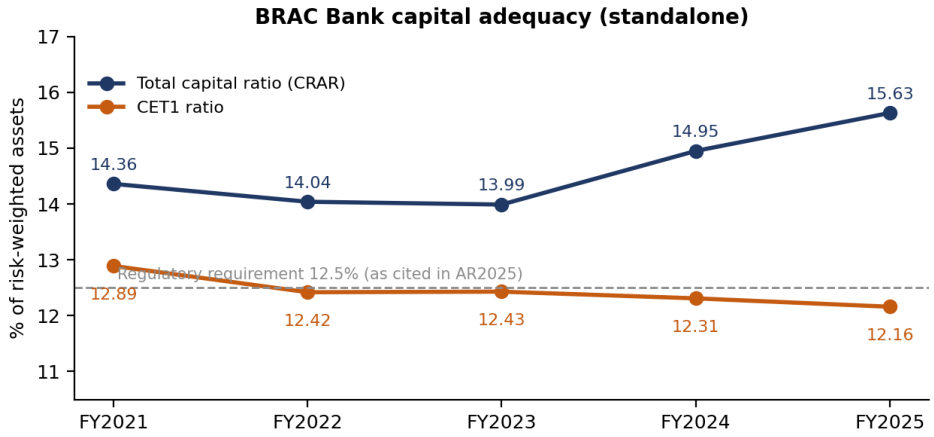
8.2 Liquidity

Loan-to-deposit ratio = loans ÷ deposits. FY2025 (standalone): 730,659 ÷ 889,517 = **82.1%**, down from 106.8% in FY2022. The regulatory advance-deposit ratio (reported 63.5%) uses a wider definition and is not the same number. The decline means the bank lends less of each deposit taka and holds more securities, which improves liquidity but lowers loan yield exposure. The **liquidity coverage ratio** rose from 227% to 292%, well above the 100% minimum; the **net stable funding ratio** was 108.2%, above its 100% minimum but with much narrower headroom and falling from 120.7% in FY2023. Liquidity is **strong on a short-term basis**, thinner on a longer-term funding basis.

8.3 Solvency and capital adequacy

Banks' balance sheets are highly leveraged by design, and "debt" mostly means customer deposits. The conventional debt-to-equity ratio is therefore misleading: the consolidated total liabilities to equity ratio was 9.26x in FY2025. A narrower measure, wholesale borrowings including bonds to total equity, was 1.08x, more informative as a funding-risk gauge. The primary solvency measure is the **capital adequacy ratio (CRAR)** = total regulatory capital ÷ risk-weighted assets. FY2025 (standalone): 93,142 ÷ 596,041 = **15.63%**, above the 12.5% requirement the bank cites. CRAR rose from 14.36%, but the highest-quality component, **CET1**, fell from 12.89% to 12.16% (Figure 5). Tier-2 capital grew from BDT 4,525 million to BDT 20,653 million, reflecting subordinated bond issues. The movement is **mixed**: total adequacy is favourable, but quality is thinning because risk-weighted assets grew 94% while retained capital grew more slowly.

Figure 5
Capital adequacy ratio and CET1 ratio, standalone



Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

8.4 Operational efficiency

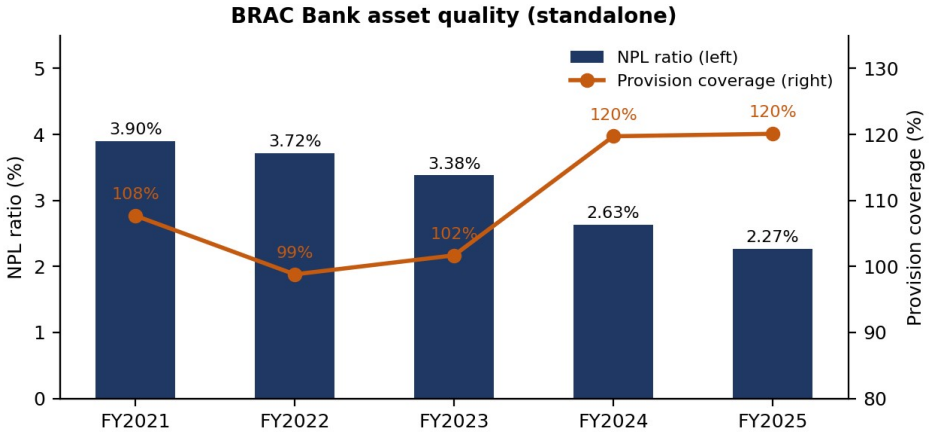
Cost-to-income ratio = operating expenses ÷ total operating income. FY2025 (standalone): 26,060 ÷ 57,946 = **45.0%**; consolidated 52.1%. Standalone cost-to-income peaked at 58% in FY2022 and improved to 45%; the consolidated ratio improved from 68% to 52%. This is **favourable**. Operating expense growth was 22.1% in FY2025, but total operating income grew 32.7%, so "jaws" were positive (income outpacing costs) in three of the four years for which they can be calculated (FY2022 to

FY2025), the exception being FY2022 (-3.0%). **Asset utilisation** (gross income ÷ average assets) rose from 8.6% in FY2022 to 12.4% because yields on securities and loans rose with market rates.

8.5 Asset quality

NPL ratio = classified loans ÷ total loans. FY2025: 16,569 ÷ 730,659 = **2.27%**, down every year from 3.90%. **Provision coverage** = (general + specific + off-balance-sheet provisions) ÷ classified loans = (5,968 + 12,782 + 1,149) ÷ 16,569 = **120.1%**, up from 108%. Both movements are **favourable** (Figure 6). Two cautions apply. First, classified loans were BDT 12,523 million in FY2021 and BDT 16,569 million in FY2025: the improvement in the ratio is largely a denominator effect from a loan book that more than doubled. Second, the credit cost (provisions ÷ average consolidated loans) rose to 1.02% in FY2025 from 0.67%, suggesting management is building buffers even as reported NPLs fall. The net NPL ratio of 0.53% means that after provisions, little unprovided bad-loan exposure remains.

Figure 6
NPL ratio and provision coverage, standalone



Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx).

9. Five-Year Trend Analysis

Table 7
Year-over-year growth and four-year CAGR, BRAC Bank

Item	FY2022	FY2023	FY2024	FY2025	CAGR 21–25
Total operating income	19.7%	22.7%	38.5%	32.7%	28.2%
Net profit (consolidated)	32.0%	34.7%	73.0%	57.2%	48.3%
Profit to shareholders	10.4%	26.1%	61.6%	47.7%	35.0%
Net profit (standalone)	3.9%	26.7%	66.2%	30.3%	n/a
Total assets	24.3%	27.6%	26.2%	25.7%	25.9%
Loans (consolidated)	27.9%	26.3%	19.9%	17.2%	22.8%
Deposits (consolidated)	22.7%	31.6%	32.2%	27.3%	28.4%
Equity to shareholders	7.0%	8.8%	17.8%	30.9%	15.8%
Operating expenses	22.7%	16.4%	18.5%	22.1%	19.9%
EPS (restated)	2.7%	14.7%	43.7%	47.6%	n/a

Source: BRAC Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Year-over-year growth is shown for FY2022 to FY2025; CAGR runs FY2021 to FY2025 (four periods).

9.1 Strongest and weakest years

Strongest year: FY2024. Consolidated net profit grew 73% to BDT 14,318 million. Investment income more than doubled (+127%), commission income rose 44%, and operating profit rose 78%. Standalone ROE jumped from 11.9% to 17.4% and cost-to-income fell to 47%. The year also carried a BDT 246 million goodwill impairment, which did not dent the result.

Weakest year: FY2022. Consolidated net profit growth was lowest in FY2022 (32%, against 35% to 73% in the following years), and underlying measures agree. Standalone profit grew only 3.9%, ROE was 10.2% (the five-year low), cost-to-income peaked at 58%, and expenses outgrew income. Standalone interest expense rose 74% while interest income rose 32% as deposit costs started to rise.

9.2 Main improvements and deteriorations

Improvements: profit growth and ROE; the NPL ratio (3.90% to 2.27%); provision coverage (108% to 120%); cost-to-income (consolidated 68% to 52%); liquidity (LCR 227% to 292%); EPS (BDT 3.65 to BDT 9.12). **Deteriorations or pressure points:** net interest income (down from its FY2023 peak); cost of funds (2.21% to 6.85%); CET1 ratio (12.89% to 12.16%); NSFR headroom (121% to 108%); reliance on investment income (23% to 56% of operating income); rising credit cost in FY2025.

9.3 Important events affecting performance

- **FY2021:** the start of the period. Non-controlling interest in equity was already BDT 19.8 billion (about a quarter of total equity; its origin was not traced), and minority shareholders absorbed a BDT 812 million loss in subsidiaries.
- **FY2022:** deposit rates began rising; interest expense jumped; standalone profit growth stalled.
- **FY2023:** net interest income peaked at BDT 20.5 billion; investment income began to climb as the bank bought more government securities.
- **FY2024:** political transition and double-digit inflation (BRAC Bank PLC, 2026); record profit growth of 73%; BDT 6.3 billion subordinated bond issued.
- **FY2025:** bKash profit up 109%; consolidated profit up 57%; subordinated bond proceeds of BDT 7.25 billion; credit cost rose; investments reached 32% of assets.

10. Competitor Analysis: BRAC Bank, The City Bank and Eastern Bank

All comparisons use **standalone** statements for the three banks and the same formulas. Return ratios use year-end balances so that all banks are treated identically; this makes them lower than the banks' own reported average-balance ROE and ROA for fast-growing balance sheets. Capital ratios, provision coverage, NPL and cost-to-income were rebuilt from raw figures and reproduce each bank's reported figures.

Table 8
Selected ratios, BRAC Bank vs The City Bank vs Eastern Bank (standalone)

Ratio	BRAC 21	City 21	EBL 21	BRAC 25	City 25	EBL 25
Profitability						
ROA (year-end)	1.24%	1.14%	1.20%	1.34%	1.55%	1.18%
ROE (year-end)	10.2%	15.2%	15.0%	15.9%	21.4%	17.7%
Net profit / operating income	23.7%	22.2%	27.1%	27.3%	27.3%	29.1%
Effective tax rate	29.7%	43.9%	43.3%	36.8%	30.6%	36.2%
Efficiency and income						
Cost-to-income	53.2%	48.6%	39.0%	45.0%	43.7%	40.4%
Investment income / op. income	25%	12%	35%	65%	74%	47%
Asset quality and capital						
NPL ratio	3.90%	4.86%	3.70%	2.27%	2.50%	2.24%
Provision coverage	108%	90%	141%	120%	127%	161%
CRAR	14.36%	14.16%	14.08%	15.63%	15.74%	15.49%
Tier-1 ratio	12.89%	10.63%	10.31%	12.16%	12.17%	11.86%
Balance sheet and valuation						
Loan-to-deposit (simple)	102.1%	101.5%	100.5%	82.1%	80.1%	85.7%
Investments / assets	11.5%	13.2%	17.1%	27.7%	23.9%	27.8%
Equity multiplier	8.25x	13.35x	12.54x	11.83x	13.80x	14.98x
Price-to-book	1.41x	0.93x	1.18x	1.26x	0.61x	0.76x

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis. EBL's general provision already includes off-balance-sheet exposure.

10.1 Scale and growth

At the end of FY2025 BRAC Bank's standalone assets were BDT 1,179,672 million against BDT 843,341 million at City and BDT 761,604 million at EBL (1.40 and 1.55 times). Standalone net profit was BDT 15,809 million, BDT 13,059 million and BDT 9,010 million respectively. BRAC has grown fastest over four years: asset CAGR 27.3% vs 19.3% (City) and 18.3% (EBL); loans 22.8% vs 15.3% and 15.4%; deposits 29.7% vs 22.3% and 20.0%. Net profit CAGRs were 29.9% (BRAC), 28.8% (City) and 18.0% (EBL), so EBL's profit has grown notably more slowly. In FY2025 standalone profit grew 30.3% at BRAC, 20.3% at City and 20.1% at EBL. City's profit before tax rose only 5.7%; its profit growth owed much to a fall in its effective tax rate from 39.0% to 30.6%, which its own tax reconciliation attributes largely to lower tax on capital gains. EBL's profit grew despite a 47% rise in provisions, which EBL attributes mainly to a 183% increase in specific provisions on certain loan accounts suggested by Bangladesh Bank and its auditor (Eastern Bank PLC, 2026).

10.2 Profitability: who earns more, and why?

City has earned the highest ROE since FY2023 (21.4% in FY2025), followed by EBL (17.7%) and BRAC (15.9%; Figure 7). A DuPont decomposition (ROE = net margin × asset yield × leverage) explains the differences.

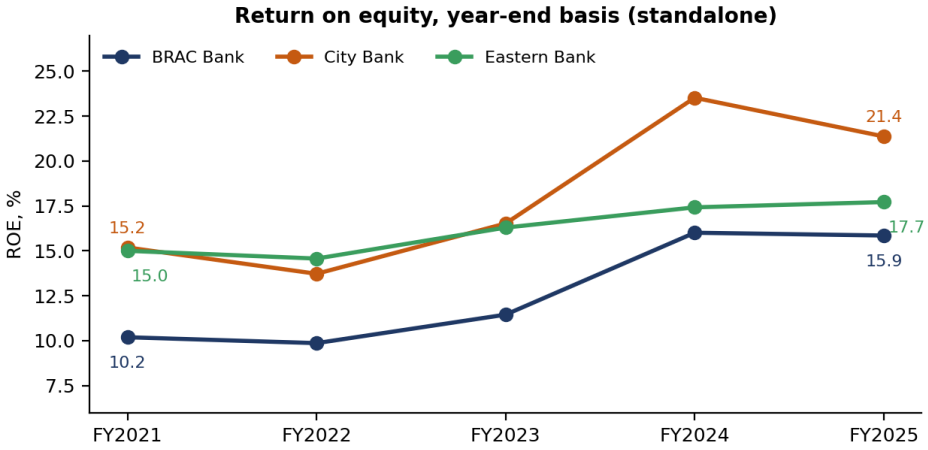
Table 9
DuPont decomposition of ROE, year-end basis

Component	BRAC 21	City 21	EBL 21	BRAC 25	City 25	EBL 25
Net margin (profit / gross income)	17.9%	15.8%	18.2%	13.1%	13.1%	12.9%
Asset yield (gross income / assets)	6.9%	7.2%	6.6%	10.3%	11.8%	9.2%
Leverage (assets / equity)	8.25x	13.35x	12.54x	11.83x	13.80x	14.98x
ROE (product)	**10.2%**	**15.2%**	**15.0%**	**15.9%**	**21.4%**	**17.7%**

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

In FY2025 the three banks' net margins are almost identical (13.1%, 13.1% and 12.9%). The ROE ranking is explained by the other two factors. City earns the highest gross income per taka of assets (11.8%, against 10.3% at BRAC and 9.2% at EBL) and is more leveraged than BRAC (13.80x vs 11.83x). EBL is the most leveraged of the three (14.98x) but has the lowest asset yield, so its ROE sits in the middle. BRAC has the lowest leverage and so the lowest ROE. Higher leverage raises ROE but also raises risk, so a higher ROE is not unambiguously "better". In FY2021 BRAC's leverage (8.25x) was far below its peers' (13.35x and 12.54x); it has risen to 11.83x but remains the lowest, while its asset yield rose from 6.9% to 10.3%.

Figure 7
ROE comparison (year-end basis)



Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

10.3 Efficiency, asset quality and capital

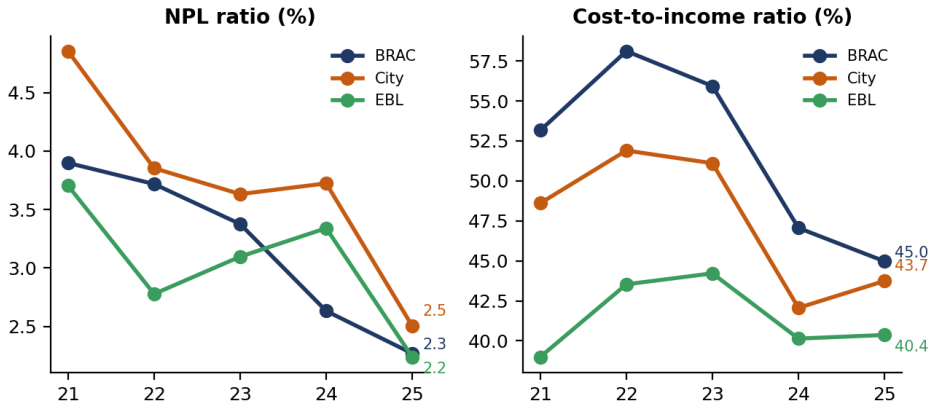
Efficiency. EBL is the most cost-efficient (cost-to-income 40.4% in FY2025), followed by City (43.7%) and BRAC (45.0%). BRAC has closed much of the gap: its ratio was 53.2% in FY2021 against 39.0% at EBL, a 14-point gap now reduced to about 5 points.

Asset quality. All three banks improved sharply (Figure 8). FY2025 NPL ratios were 2.24% (EBL), 2.27% (BRAC) and 2.50% (City). City's fall from 3.72% coincided with classified loans dropping from BDT 16,569 million to BDT 12,669 million, which City attributes to dedicated recovery teams; EBL's classified loans fell from BDT 13,718 million to BDT 10,675 million after an intensified collection drive on classified and written-off loans. Provision coverage differs more: EBL 161%, City 127%, BRAC 120%. EBL carries the largest buffer, which helps explain its lower profit growth: it charged BDT 4,357 million of provisions in FY2025, equal to 24% of operating profit, against 22% at BRAC and 30% at City.

Capital. Total capital ratios are within 0.3 percentage points (City 15.74%, BRAC 15.63%, EBL 15.49%), as are Tier-1 ratios (12.17%, 12.16%, 11.86%). The direction differs: BRAC's Tier-1 ratio fell from 12.89% to 12.16%, while City's rose from 10.63% and EBL's from 10.31%. In FY2021 BRAC had a

clear core-capital lead which it has now lost. City states a higher required CRAR (14%) than the other two (12.5%).

Figure 8
NPL ratio and cost-to-income ratio, three banks

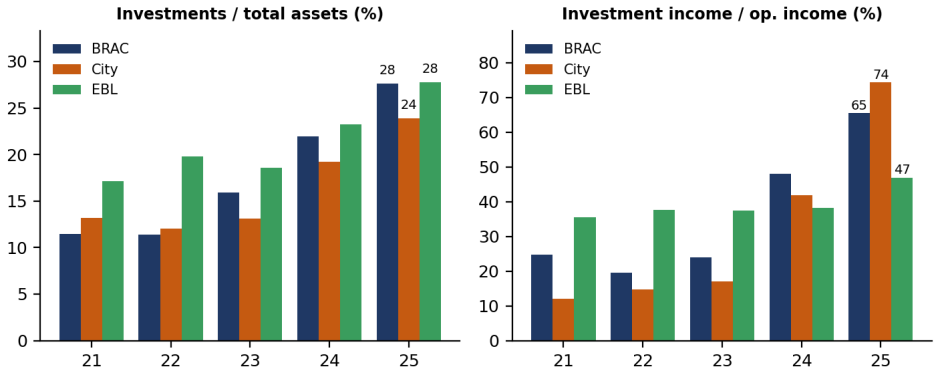


Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

10.4 Dependence on government securities

All three banks have shifted assets toward securities (Figure 9). Investments as a share of standalone assets rose from 11% to 28% at BRAC, 13% to 24% at City and 17% to 28% at EBL. Investment income now provides 74% of operating income at City, 65% at BRAC and 47% at EBL. EBL is therefore the least dependent on securities yields, partly because its fee and other income (BDT 6,614 million in FY2025) is a larger share of operating income (21%, against 20% at City and 14% at BRAC). All three saw net interest income (excluding investment income) fall in FY2025 or sit far below earlier levels: City's fell to BDT 2,847 million from BDT 14,742 million, and EBL's fell 7% to BDT 9,833 million. If yields on government securities fall, City and BRAC are most exposed.

Figure 9
Dependence on investments and investment income



Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

10.5 Liquidity and funding

Table 10
Liquidity and funding indicators, FY2025 (as reported)

Indicator	BRAC	City	EBL
Liquidity coverage ratio (min 100%)	292%	232%	253%
Net stable funding ratio (min 100%)	108%	105%	113%
Advance-deposit ratio (max 87%)	63.5%	71.3%	74.7%

Indicator	BRAC	City	EBL
Cost of funds, as reported*	6.85%	6.20%	6.44%

*Definitions differ: EBL defines cost of fund as interest expense over average borrowings and deposits; City excludes administrative expenses; BRAC's definition was not established. Treat cost-of-funds figures as indicative, not strictly comparable. Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

All three banks hold comfortable short-term liquidity. EBL has the widest NSFR headroom (113%) while BRAC's (108%) and City's (105%) are thinner. BRAC's regulatory AD ratio is the lowest, meaning it lends the smallest share of its funding base: the most conservative stance of the three.

10.6 Competitive position

Table 11
Where each bank leads, FY2025 (author's reading of the data)

Dimension	Leader	Evidence
Scale and growth	BRAC Bank	Assets BDT 1,179,672 mn; asset CAGR 27.3%
Return on equity	City Bank	21.4% vs EBL 17.7%, BRAC 15.9%
Cost efficiency	Eastern Bank	Cost-to-income 40.4%
Asset quality (NPL)	Eastern Bank (BRAC close)	2.24% vs 2.27%
Provision buffer	Eastern Bank	Coverage 161%
Capital strength	Tie	CRAR 15.5-15.7%; Tier-1 11.9-12.2%
Income diversification	Eastern Bank	Investment income 47% of income vs 65% (BRAC), 74% (City)
Market valuation (price/book)	BRAC Bank	1.26x vs EBL 0.76x, City 0.61x

Source: BRAC Bank, City Bank and Eastern Bank annual reports 2021–2025; author's calculations (BRAC_Bank_Financial_Model_v0.4.xlsx). Standalone basis.

BRAC Bank is the largest and fastest-growing of the three, with a clean, well-provisioned balance sheet and a distinctive SME and digital franchise (bKash). It trails on cost efficiency (EBL and City are better) and on ROE (because it uses less leverage and earns a lower asset yield than City), and its core-capital lead of FY2021 has gone. The market nonetheless values BRAC at 1.26x book, against 0.76x for EBL and 0.61x for City, even though City earns the highest ROE. The financial statements alone cannot explain this gap; plausible drivers (bKash ownership, perceived growth, share liquidity) are hypotheses to test, not findings. Even with two peers, BRAC's position is relative to two strong private banks, not to the industry.

11. Risk Assessment

Each risk below is assessed with evidence from the five-year data. The ratings in the matrix are the author's judgement of current exposure given the evidence, not the banks' own ratings.

Table 12
Risk matrix for BRAC Bank PLC

Risk	Key evidence (FY2025)	Impact channel	Rating
Credit	NPL 2.27%; net NPL 0.53%; coverage 120%; credit cost 1.02% (up from 0.67%); loan mix SME 42%, corporate 41%, retail 17%	Provisions reduce profit; losses erode capital	Medium
Liquidity	LCR 292%; NSFR 108% (min 100%); loan-to-deposit 82%	Funding stress forces costly borrowing	Low-Medium
Market (securities price)	Investments 32% of assets; govt-securities revaluation reserve BDT 9.1 bn (from 0.9 bn)	Yield rises cut bond values and equity	Medium-High
Interest rate (margin)	Cost of funds 6.85% (from 2.21%); NII down 22% from FY2023 peak; 56% of income from investments	Falling yields shrink investment income; funding costs sticky	High
Foreign exchange	Imports 514 bn, exports 242 bn, remittance 373 bn handled; rate stable at BDT 122-123/USD	Currency moves affect FX gains and borrowers with USD exposure	Medium
Operational	10,308 staff; customer support tickets 1.28 mn (+41%); heavy digital and bKash reliance	Fraud, outages, cyber incidents	Medium
Regulatory	CET1 down to 12.16%; capital requirement 12.5% as cited; changing classification and provisioning rules	Higher capital or provisioning requirements	Medium
Macroeconomic	GDP ~4%, inflation 8-9%, 2026 election; state-bank fragility noted in AR	Weak borrower cash flow and credit demand	Medium-High

Source: BRAC Bank PLC (2026); author's analysis. Ratings are the author's judgement.

11.1 Credit risk

Credit risk is the risk that borrowers do not repay. The reported measures are favourable (NPL 2.27%, coverage 120%), but the absolute stock of classified loans is unchanged since FY2021 and provisions rose 79% in FY2025. With SME loans at 42% of the book, a slowdown that hurts small businesses would feed directly into NPLs. The effect on profit is through the provision charge: a one-percentage-point rise in the NPL ratio on a BDT 731 billion loan book is about BDT 7.3 billion of additional classified loans, which would require provisions against it.

11.2 Liquidity risk

Liquidity risk is the risk of being unable to meet withdrawals or obligations. Liquid assets were 44% of deposits, the LCR 292%, and the statutory liquidity reserve held 34%, all comfortable. The tighter measure is the NSFR (108.2%), which has fallen for two consecutive years toward its 100% floor. Cash flow statements show deposits grew BDT 210 billion in FY2025, so funding is currently abundant.

11.3 Market risk and 11.4 Interest-rate risk

Market risk here is mainly the price risk on BDT 419,378 million of investments, nearly all government securities. The revaluation reserve on government securities rose by about BDT 8.2 billion in FY2025 and accounted for roughly a third of the increase in shareholders' equity; a reversal would hit equity. Interest-rate risk has two sides. On the liability side, deposit repricing already raised the cost of funds from 2.21% to 6.85%. On the asset side, 56% of operating income now depends on securities yields; if yields fall faster than deposit costs, margins compress. This is the single most important risk to profit sustainability. The banks' own sensitivity (duration gap) disclosures were not analysed.

11.5 Foreign exchange risk

The bank handled BDT 514 billion of imports, BDT 242 billion of exports and BDT 373 billion of inward remittances in FY2025 (standalone), earning exchange income within the BDT 21.2 billion consolidated commission, exchange and brokerage line. Exchange-rate stability in 2025 supported this income.

Risks are a depreciation that raises the cost of USD obligations for importers (credit risk) and losses on open positions. The bank's net open position was not analysed in this study.

11.6 Operational risk

Operational risk arises from people, processes, systems and external events. It grows with digital scale: customer support tickets rose 41% to 1.28 million in 2025, and bKash processes very high transaction volumes. The financial statements do not quantify it directly; the BRAC Bank report's risk chapters should be reviewed for loss-event data.

11.7 Regulatory risk

Changes to capital, provisioning, loan-classification, interest-rate and liquidity rules can change reported profit and capital without any change in underlying performance. The decline in CET1 (12.89% to 12.16%) means headroom to future tightening is narrower than the headline CRAR suggests. Part of the NPL improvement across the industry may reflect classification rules; the data here cannot separate rule effects from genuine credit improvement.

11.8 Macroeconomic risk

With GDP growth around 4%, inflation of 8-9% and political transition, borrowers' repayment capacity and credit demand remain under pressure. Lower rates would hurt investment income, while weak growth would lift credit costs. BRAC Bank's diversified fee income, remittance franchise and bKash earnings are partial offsets.

12. Key Findings

1. **Profit grew 48.3% a year** (consolidated) to BDT 22,509 million, but **19% of FY2025 profit belongs to minority holders** of subsidiaries.
2. **Investment income, not lending, drove growth.** Net interest income fell 22% from FY2023 while investment income reached 56% of operating income.
3. **Funding costs tripled** (2.21% to 6.85%), the main pressure on traditional margins.
4. **Asset quality improved steadily,** with NPL 3.90% to 2.27% and coverage 108% to 120%, though absolute classified loans were flat.
5. **Efficiency improved:** consolidated cost-to-income fell from 68% to 52%.
6. **Capital is adequate but thinner in quality:** CRAR 15.63%, CET1 down to 12.16%.
7. **Strongest year FY2024; weakest underlying year FY2022.**
8. **Versus The City Bank and Eastern Bank:** BRAC is largest and fastest-growing with similar asset quality and capital; City has the highest ROE (21.4% vs 17.7% EBL, 15.9% BRAC), explained by asset yield and leverage rather than margins; EBL is the most efficient and least securities-dependent.
9. **All three banks share the same vulnerability** to falling government securities yields (investment income is 47% to 74% of their operating income).

13. Recommendations

These are analytical recommendations arising from the findings. They are not investment advice.

For analysts and readers monitoring BRAC Bank

- Track **net interest income and the cost of funds** each quarter alongside investment income; they signal margin health better than headline profit.
- Always read **profit attributable to shareholders** next to consolidated profit and track bKash's contribution.
- Monitor the **CET1 ratio, NSFR and credit cost** as leading indicators; all have moved in the less comfortable direction.
- Look at **absolute classified loans**, not only the NPL ratio, to avoid the denominator effect.
- Watch the **revaluation reserve on government securities** and bond yields as a source of equity volatility.

For BRAC Bank management (considerations)

- Rebuild loan growth in higher-yielding segments (SME and retail) as private credit recovers, to reduce the share of income from government securities.
- Strengthen core capital (retained earnings or common equity) so that CET1 stops declining relative to risk-weighted assets, rather than relying on tier-2 bonds.
- Manage funding mix and deposit pricing to lower the cost of funds, for example through CASA growth (41% of deposits in FY2025, down from 42%).
- Disclose a clear NIM definition and consolidated ROA/ROE history to improve transparency.

For the next phase of this research

- Add state-owned, Islamic and other private banks to turn a two-peer comparison into an industry benchmark.
- Obtain quarterly data to test whether the margin squeeze has stabilised.
- Trace the FY2021 non-controlling interest jump and analyse interest-rate sensitivity and net open position disclosures.

14. Conclusion

BRAC Bank PLC delivered exceptional profit growth over FY2021 to FY2025 while strengthening provisions and improving efficiency. The evidence shows, however, that the profit surge owes more to securities income and subsidiary earnings than to the traditional lending spread, which has narrowed as funding costs rose. Asset quality and liquidity are healthy and capital meets requirements, but core capital quality and long-term funding headroom have thinned. Compared with The City Bank and Eastern Bank, BRAC is bigger, faster-growing and similarly sound; City earns the highest return on equity through higher yield and leverage, and EBL is the most efficient and least dependent on securities income. The principal question for the coming years is how profit will hold up as government securities yields normalise. Answering it requires monitoring net interest income, loan growth and capital quality, and broadening the peer set further.

15. References

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Publication years are taken to be the year after the reporting year, the usual publication timing; BRAC Bank PLC (2026) is the FY2025 report approved on 26 April 2026. Page references in the text are to printed page numbers of the respective report. Bangladesh Bank, DSE and BSEC publications were not used directly in this version; industry figures quoted are as cited in Eastern Bank PLC (2026).

Appendix A: Data verification and restatement log

Every BRAC Bank, City Bank and Eastern Bank figure was typed from an audited annual report and cross-checked to at least one other source within the reports. Integrity checks in the workbook:

Check	Result
Balance sheet: assets = liabilities + equity, all years	Zero difference
Income: PBT - tax = net profit; owners + minority = net profit	Within BDT 1 mn
Operating income rebuilt from components = reported	Within BDT 1 mn
Cash flow: operating + investing + financing = net change	Within BDT 1 mn
Calculated vs reported: NPL, cost-to-income, provision coverage, ROA, CRAR	Agree (all three banks)
EPS x shares vs shareholders' profit (FY2025)	18,157 vs 18,163
NAV per share x shares vs shareholders' equity (FY2025)	102,652 vs 102,658

Restatements and discrepancies identified:

- BRAC Bank FY2022 net profit: 6,122 (FY2022 report) restated to 6,142 (FY2023 report); total equity 81,030 to 81,064.
- BRAC Bank FY2024 deposits: 777,054 (FY2024 report) restated to 777,867 (FY2025 report); total equity 100,570 to 100,923.
- BRAC Bank EPS restated each year for bonus shares (FY2021: 3.93 originally, 3.65 restated).
- BRAC Bank standalone NAV per share FY2025: 50.08 (English tables) vs 50.11 (Bengali table). 50.08 used.
- BRAC Bank and Eastern Bank cite a 12.5% capital requirement; City Bank states "not less than 14%". Each bank's own stated requirement used.
- Eastern Bank: FY2023 total assets 508,554 (FY2023 report) vs 506,271 (FY2025 report); FY2024 equity and ROE not restated for a Bangladesh Bank reclassification; reported NIM (4.00%) not reproducible, so not compared; general provision includes off-balance-sheet exposure; EPS and NAV per share not restated for earlier years.
- City Bank FY2024 total assets restated from 697,349 to 698,062; NIM for FY2021-22 differs between two tables in the same report (4.5% / 4.3% vs 4.0% / 3.7%), so NIM is not used in the comparison.
- City Bank EPS and NAV per share for earlier years are not adjusted for stock dividends; profit and equity are compared instead.
- City FY2024 and BRAC FY2025 both report classified loans of BDT 16,569 million: confirmed as coincidence in each bank's own report.

Appendix B: Formula reference

Ratio	Formula (as used)
Net interest income	Interest income - interest expense
ROA	Net profit (attributable to shareholders for consolidated) / average total assets
ROE	Net profit attributable to shareholders / average shareholders' equity
Net profit margin	Net profit / total operating income
Cost-to-income	Operating expenses / total operating income
Loan-to-deposit	Loans and advances / deposits
CRAR	Total regulatory capital / risk-weighted assets
NPL ratio	Classified loans / total loans and advances
Provision coverage	(General + specific + off-balance-sheet provisions) / classified loans
Credit cost	Total provisions / average loans
Operating "jaws"	Growth in operating income - growth in operating expenses

Ratio	Formula (as used)
DuPont ROE	(Net profit / gross income) x (gross income / assets) x (assets / equity)
CAGR	(Ending value / beginning value)^(1/number of years) - 1

Appendix C: Glossary

Term	Plain-English meaning
Classified (non-performing) loan	A loan whose borrower has stopped paying on time beyond the regulatory limit.
Provision	Money a bank sets aside from profit to cover expected loan losses.
Net interest income (NII)	Interest earned on loans minus interest paid on deposits and borrowings.
Investment income	Interest earned mainly on government securities held by the bank.
CASA	Current and savings accounts: low-cost deposits.
Non-controlling interest	The share of a subsidiary's profit and equity owned by outside shareholders.
CRAR / CET1	Capital divided by risk-weighted assets; CET1 counts only the highest-quality capital.
LCR / NSFR	Regulatory tests of short-term liquidity and stable long-term funding.
Leverage	How many times a bank's assets exceed its equity.
Standalone / consolidated	The bank alone / the bank plus its subsidiaries.